

Interglobe Aviation Ltd

Nifty 100 Company Tearsheet | INDIGO

Consumer Discretionary | Interglobe Aviation Ltd (Indigo) is India's largest passenger airline operating as a low-cost carrier. Serving 86 destinations including 24 international destinations, it provides passengers with a simple, unbundled product, fulfilling its singular brand promise of providing "low fares, on-time flights, and a courteous and hassle-free service" to its customers. IndiGo commenced operations in August 2006 with a single aircraft and has grown its fleet to 262 aircrafts.

ROE

892.6%

ROCE

5640.9%

Debt / Equity

0.02

Revenue CAGR 5Y

19.3%

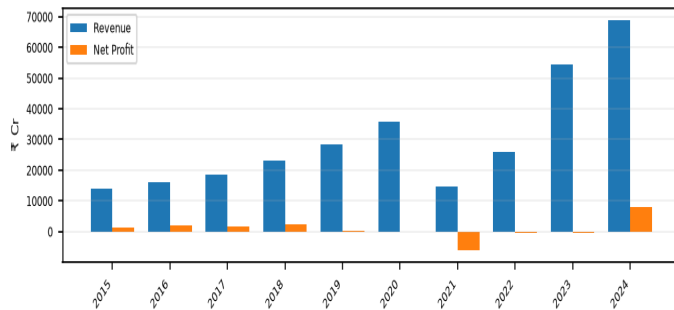
PAT CAGR 5Y

120.7%

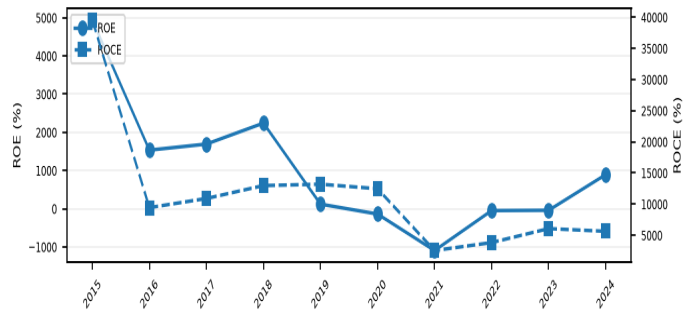
Free Cash Flow

■9,424 Cr

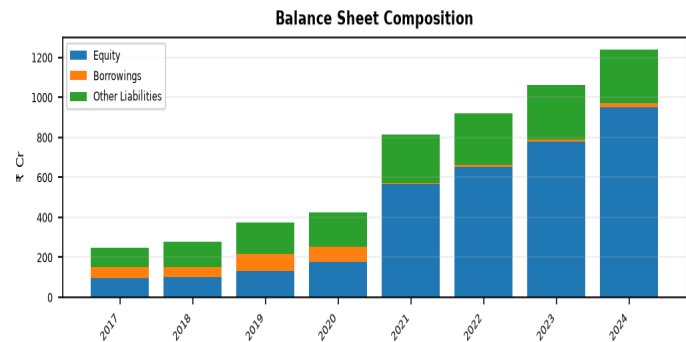
10-Year Revenue and Net Profit



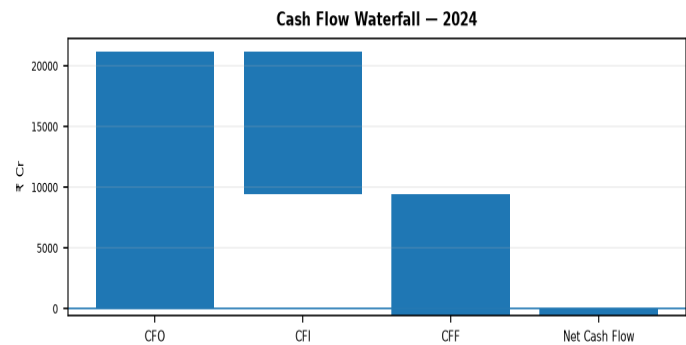
ROE and ROCE Trend



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Reinvestor